Pattern 4 TRIANGLE

‘Triangles’ are created when the asset price moves in a manner such that the support and resistance levels in the recent past form a triangular pattern. The illustration depicts the movement of the closing price of the asset within the edges of the triangle. Such formations are called triangular chart patterns. They work in a sideways manner and a triangle formation can have a breakout in either direction. If it breaks out on the top side, it is a bullish breakout and as a result, we can long the asset.

If the breakout is on the negative side, we can say that it is a bearish breakout and we will short the asset.